

Effect on the Cash Dividend Rate. The essentially illusive character of large stock dividends would be more evident were it not for the fact that an investment element of real importance may also enter into the picture. The payment of an extraordinary stock dividend is usually the forerunner of an increase in the regular cash dividend rate. Since investors are legitimately interested in the cash dividend, they must necessarily be interested also in any stock dividend, for this may have a bearing upon the probable cash dividend. This serves to confuse the issue and to make less obtrusive the purely manipulative aspects of stock-dividend declarations.

The dividend history of a successful industrial corporation frequently discloses the following sequence:

1. A protracted period of small dividends in relation to earnings, with the upbuilding of a huge surplus.
2. The sudden payment of a large stock dividend.
3. An immediate increase in the regular cash dividend payments.³

No policy could be more conducive to the confusion of investment and speculative attitudes or lend itself more easily to the taking of unfair advantage by those in control.

PERIODIC STOCK DIVIDENDS

This policy represents a great advance in basic soundness over the haphazard and often inequitable practices that we have been discussing. Such practices involve first the large accumulation of undistributed earnings in

but those which he thinks likeliest to catch the fancy of the other competitors, all of whom are looking at the problem from the same point of view. It is not a case of choosing those which, to the best of one's judgment, are really the prettiest, nor even those which average opinion genuinely thinks the prettiest. We have reached the third degree where we devote our intelligences to anticipating what average opinion expects the average opinion to be. And there are some, I believe, who practice the fourth, fifth and higher degrees." *The General Theory of Employment, Interest and Money*, p. 156, New York, 1936.

³ For example, American Can issued six shares for one in 1926 through a four-for-one split and a 50% stock dividend. The dividend rate was \$7 per share on the old stock, but a \$2 rate was immediately inaugurated on the new stock, which was equivalent to \$12 per share on the old. The rate on the new stock was stepped up to \$5 per share in 1929. Likewise National Biscuit paid a \$7 dividend annually from 1912 through 1922, although it earned substantially in excess of that figure. The stock was split 7 for 1 in 1922 through issuing 4 new shares for each old share, followed by a 75% stock dividend. Dividends on the new shares were inaugurated at \$3 per share, equivalent to \$21 per share on the old.